# STATE BUDGET
## 2025-26




SOUTH AUSTRALIA

Government of South Australia

**Budget Overview** | Budget Paper 1

# STATE BUDGET
2025-26

## BUDGET PAPER 1: BUDGET OVERVIEW

A summary publication capturing all highlights from the 2025-26 Budget.

## BUDGET PAPER 2: BUDGET SPEECH

A copy of the Treasurer's speech, delivered to Parliament.

## BUDGET PAPER 3: BUDGET STATEMENT

A financial report presenting the state government's current and estimated future economic performance, fiscal strategy, budget priorities, expenditure, revenue, assets, liabilities, risks and government business.

## BUDGET PAPER 4: AGENCY STATEMENTS | VOLUMES 1, 2, 3, 4

Various financial reports presenting the state government's current and estimated revenue, expenses and performance by agency.

## BUDGET PAPER 5: BUDGET MEASURES STATEMENT

A financial report detailing the state government's expenditure, savings and revenue initiatives.

## ACKNOWLEDGEMENT OF COUNTRY

We acknowledge Aboriginal people as the state's first peoples, nations and Traditional Owners of South Australian land and waters. We recognise that their unique cultural heritage, customs, spiritual beliefs and relationship with the land are of ongoing importance today, and we pay our respects to Elders past, present and emerging leaders of the future.

ACKNOWLEDGEMENTS
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# BUDGET OVERVIEW



## TREASURER'S MESSAGE

The 2025-26 State Budget is focused on securing South Australia's future, supporting our communities through immediate challenges while laying the foundations for long-term prosperity.

We are acting decisively to protect jobs and industries, with a $2.4 billion Sovereign Steel Package to stabilise and secure the future of the Whyalla steelworks. This investment will safeguard thousands of jobs, support local businesses, and ensure Whyalla remains a cornerstone of our state's industrial strength.

This budget also includes a comprehensive drought support package recognising ongoing drought conditions experienced by primary producers.

As inflation eases and interest rates continue to fall, the government is continuing to deliver targeted cost of living relief for families, students and businesses who need it most, to help South Australians manage everyday expenses.

This budget continues the government's strong record of investing in housing, health, education and community safety. We are building more public and affordable homes, meeting the growing demand for hospital services, accelerating early childhood education, and strengthening our police and justice systems.

This budget reflects our government's continued commitment to responsible financial management, with net operating surpluses budgeted across the forward estimates, while investing for the future and delivering the services and infrastructure South Australians need and deserve.

**Hon Stephen Mullighan MP**
**Treasurer**

**"This budget invests in law and order, including policing, to protect the community and prioritises areas including the South Australian economy, health, housing, and education."**



## KEY BUDGET INDICATORS

| | 2024-25 Estimated Result | 2025-26 Budget | 2026-27 Estimate | 2027-28 Estimate | 2028-29 Estimate |
|---|---|---|---|---|---|
| **General government net operating balance ($m)** | 18 | 179 | 369 | 458 | 315 |
| **General government net lending ($m)** | -2 249 | -2 443 | -3 502 | -3 604 | -2 986 |
| **General government net debt ($m)** | 22 052 | 25 201 | 28 838 | 33 303 | 37 031 |
| **Non-financial public sector (NFPS) net debt ($m)** | 31 381 | 35 539 | 39 901 | 44 258 | 48 495 |
| **NFPS net debt to revenue ratio** | 99.9% | 107.6% | 117.2% | 125.9% | 136.7% |




## GROWING OUR POLICE FORCE TO

# 5,000

## SWORN OFFICERS BY 2030-31

**326**
SWORN OFFICERS

**98**
POLICE SECURITY OFFICERS

**20**
OFFICERS REDEPLOYED TO FRONTLINE POLICING

# POLICE



The 2025-26 Budget makes a significant investment to support our police force to better protect and serve the community, including funding additional officers, improving the amenity of police facilities, and modernising their equipment.

By 2030-31, SA Police will grow by 326 sworn officers, to achieve a total sworn police force of 5 000.

## ADDITIONAL SWORN POLICE OFFICERS

**$172 million over six years (including $69.8 million to 2028-29)** for additional sworn police officers. Together with the expanded police motorcycle capacity and regional Police Security Officer (PSO) initiatives, there will be an additional 243 sworn police officers by 2028-29 and a further 83 by 2030-31.

## ESSENTIAL POLICE INFRASTRUCTURE

**$31.1 million over four years** to undertake additional sustainment works to ensure SA Police have the facilities and equipment they need.

## REGIONAL POLICE SECURITY OFFICERS

**$29.6 million over three years** for the expansion of the successful PSO model into regional areas, with an additional 98 PSOs and 2 sworn police officers across regional South Australia.

## ACCELERATED POLICE RECRUITMENT

**$12 million over three years** to continue the accelerated recruitment program by increasing the number of courses delivered by the SA Police Academy, engaging in recruitment campaigns, and improving vocational pathways.

## WORKFORCE CIVILIANISATION

**$9.7 million over four years** to facilitate the redeployment of sworn police officers into priority operational policing duties through the civilianisation of 20 support roles in SA Police.

## PISTOL REPLACEMENT

**$6.8 million over four years** to replace the current pistol used by police officers. The additional funding will be used to procure and roll out the replacement pistol as well as conduct associated training.

## STATE COMMUNICATIONS CENTRE BUILDING SUSTAINMENT AND SECURITY WORKS

**$5.9 million over three years** to support critical building sustainment and security works for the operation of the State Communications Centre.

## IMPLEMENTATION OF CHILD SEX OFFENDER REGISTRATION REFORMS

**$2 million over two years** to assist SA Police to address the expected increase in exemption applications from the extension of the definition of 'child-related work' under the *Child Sex Offender Registration Act 2006*.

## FUTURE INFRASTRUCTURE REQUIREMENTS

The budget includes provisions of around $200 million for future SA Police infrastructure requirements, including a new northern property store, Two Wells police station and other facilities.

## PAY AND CONDITIONS

The government is continuing its support for the attraction and retention of police officers, signing an agreement in December 2024 to take immediate action to improve officer pay and conditions.

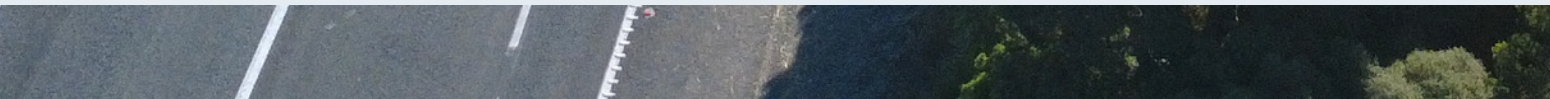
The agreement provides wage increases of at least 4 per cent, as well as a police specific midpoint adjustment to ensure SA Police officers are, as a minimum, remunerated at the median of all comparable officers across the nation.



# $110.6 million

## ROAD SAFETY PACKAGE

taking the additional government investment in road safety since the 2023-24 Budget to $456.7 million.



# ROAD SAFETY

## SAFETY CAMERAS

**$46.8 million over four years** for the purchase, implementation and ongoing operation and maintenance of additional road safety cameras, including mobile phone detection cameras, red light speed cameras and a point-to-point camera at high-risk locations.

## ROAD SAFETY MAINTENANCE

**$20 million over two years** to deliver additional road safety maintenance works for regional and metropolitan roads such as road resurfacing, and maintenance of electrical assets, including traffic signals.

## MOBILE AUTOMATED NUMBER PLATE RECOGNITION

**$9.7 million over four years** for the ongoing operation and fit-out of up to 20 police vehicles with a mobile automated number plate recognition system, which will increase SA Police capabilities in road safety, traffic policing and other investigative requirements.

## REGIONAL ROAD SAFETY INFRASTRUCTURE

**$7.5 million over three years** towards regional road safety infrastructure upgrades, including audio tactile line marking, safety barriers and rural junction activated warning system signage.

## ROAD SAFETY TARGETED CAMPAIGNS – ADDITIONAL FUNDING

**$4.5 million over three years** to further engage the community and help change unsafe behaviours on the road.

## HEAVY VEHICLE REST AREAS

**$4.3 million in 2025-26** to upgrade the existing heavy vehicle rest area at Arcoona and construct a new rest area at Pimba on the Stuart Highway, supporting heavy vehicle drivers in managing fatigue and improving road safety.




# $17.8 million

## OVER FOUR YEARS

## EXPANDED POLICE MOTORCYCLE CAPACITY

for an additional 33 sworn police officers to undertake motorcycle policing duties to improve road safety outcomes, respond to critical incidents and support emergency management.



# CORRECTIONS

## EXPANDING PRISON CAPACITY

**$72.4 million over five years** to increase prison capacity by an additional 116 beds by undertaking expansions across various prison facilities. This brings total additional beds to 468 over the previous two budgets.

## ALTERNATIVES TO CUSTODY – CLOSING THE GAP

**$8.1 million over four years** to establish an additional 30 bed Bail Accommodation Support Program, which will create a remand to bail pathway. This will provide participants with case management to transition to longer-term housing, increase their likelihood of meeting their bail conditions, maintain links to services in the community, reduce recidivism and contribute to Closing the Gap targets.

## PRISON SECURITY ENHANCEMENTS

**$6.8 million over four years** to implement security enhancements across South Australian prisons to reduce contraband entering prisons and increase the safety of staff, prisoners and the broader community.

## MOUNT GAMBIER PRISON ADDITIONAL CAPACITY

**$1.4 million over two years** to set up and operate an additional 19 transition beds at Mount Gambier Prison to provide immediate additional prisoner capacity.

## PAROLE BOARD – INCREASED RESOURCING

**$862 000 over five years** to the Parole Board to assist with an increase in hearings and the preparation of associated reports.

# COURTS & JUSTICE






## COURT INFRASTRUCTURE

**$20 million over four years** to undertake critical works and upgrades on essential court infrastructure, and plant and equipment.

## OFFICE OF THE DIRECTOR OF PUBLIC PROSECUTIONS – ADDITIONAL RESOURCES

**$9.4 million over four years** to support the Office of the Director of Public Prosecutions to establish a junior solicitor team and pre-committal unit, and develop data models to streamline work in the criminal justice sector.

## FORENSIC SCIENCE SA – ADDITIONAL RESOURCES

**$5.5 million over four years** to address the increased complexity of forensic testing and interpretation, and increased demand for some forensic services.

## COURT SECURITY

**$4.8 million over four years** for additional sheriff's officers to enhance security at courts for members of the judiciary, courts staff and users, and the general public.

## CROWN SOLICITOR'S OFFICE – ADDITIONAL RESOURCES

**$4.4 million over five years** for the Crown Solicitor's Office to support its work associated with child protection matters.

## DISTRICT COURT ASSOCIATES – ADDITIONAL FUNDING

**$707 000 over two years** for continued engagement of District Court associates to assist with increased work associated with Operation Ironside matters.

# INFRASTRUCTURE, ROADS & TRANSPORT

# $27.3 billion

## OVER FOUR YEARS

## TOTAL PUBLIC SECTOR INFRASTRUCTURE SPEND

### $6.3 billion — 2025-26

**NEW AMBULANCE HEADQUARTERS**
**$133.8 million** (TPC)
Completion: December 2025

**NEW TECHNICAL COLLEGES**
**$185.9 million** (TPC)
Completion: December 2025

**MORPHETT ROAD – LEVEL CROSSING REMOVAL**
**$200 million** (TPC)
Completion: June 2026
*Delivered as part of the North-South Corridor - River Torrens to Darlington project*

### $7.3 billion — 2026-27

**MARION ROAD – ANZAC HIGHWAY TO CROSS RD**
**$400 million** (TPC)
Completion: June 2027

**EYRE PENINSULA DESALINATION AUGMENTATION**
**$330 million** (TPC)
Completion: June 2027

### $7 billion — 2027-28

**NEW MOUNT BARKER HOSPITAL**
**$365.6 million** (TPC)
Completion: December 2027

### BEYOND JUNE 2029

**NEW WOMEN'S AND CHILDREN'S HOSPITAL**
**$3.2 billion** (TPC)
Completion: June 2031

**NORTH-SOUTH CORRIDOR – RIVER TORRENS TO DARLINGTON**
**$15.4 billion** (TPC)
**(including $9.4 billion up to 2028-29)**
Completion: December 2031

**NEW BIRTH TO YEAR 6 SCHOOL IN NORTHERN METROPOLITAN ADELAIDE**
**$70 million** (TPC)
**(including $26 million up to 2028-29)**
Completion: June 2031

### 2028-29 — $6.6 billion

**PRINCES HIGHWAY CORRIDOR**
**$601.3 million** (TPC)
Completion: June 2029

**SOUTH EASTERN FREEWAY UPGRADE**
**$350 million** (TPC)
Completion: June 2029

**FLINDERS MEDICAL CENTRE UPGRADE AND EXPANSION**
**$495.9 million** (TPC)
Completion: December 2028

TPC = Total Project Cost

Completion dates reflect the financial closure of the project or program. Please refer to specific project website for opening dates.

### CURTIS ROAD LEVEL CROSSING REMOVAL

**$250 million over five years** to remove the Curtis Road level crossing in Munno Para in northern Adelaide and eliminate the need for road traffic to interact with the Gawler passenger rail line. This project will improve safety and support the significant housing developments in the region. Funded in partnership with the Commonwealth Government.

### MAIN SOUTH ROAD SAFETY UPGRADE – MYPONGA TO YANKALILLA

**$80 million over five years** to deliver critical safety improvement works along Main South Road between Myponga and Yankalilla, including new overtaking lanes and road widening. Funded in partnership with the Commonwealth Government.

### MOUNT BARKER ON-DEMAND PERMANENT SERVICE

**$12.5 million over five years** to transition the current Mount Barker On-Demand (Keoride) trial service into a permanent Adelaide Metro service, and for the purchase of six new electric vehicle buses and associated infrastructure upgrades to the Mount Barker Depot to support electric vehicle charging.

### ADDITIONAL PUBLIC TRANSPORT SECURITY

**$9.6 million over four years** to improve safety and security on the bus network through a targeted program, including upgrades to CCTV systems at key interchanges and stations, SMART devices to improve bus driver safety, and increasing the number of transit compliance officers able to rapidly respond to incidents and provide a visible presence across the network.



# $656.3 million

## FROM 2025-26

## HIGH PRODUCTIVITY VEHICLE NETWORK – STAGE 1

to deliver upgrades between the Swanport Bridge on the Princes Highway and Truro on the Sturt Highway. These projects will provide the necessary infrastructure to enable high productivity vehicles to bypass metropolitan Adelaide by improving the route resilience and increasing freight efficiency, enabling fewer trips and reducing carbon emissions, and improving safety for all road users. Funded in partnership with the Commonwealth Government on an 80:20 basis. The state will contribute **$125 million** towards these projects.



# $552.4 million

## HOUSING PACKAGE

to directly support the construction of around 2 935 homes.

### PLAYFORD ALIVE EAST

**$270.1 million over nine years** to deliver the Playford Alive East project, which will provide more than 1 300 new residential allotments, including a minimum of 30 per cent affordable housing, 5 allotments for commercial and/or apartment development and 12.5 per cent new public open space.

### HOUSING AUSTRALIA FUTURE FUND (HAFF) FACILITY – ROUND 2

**$135.1 million over three years** for a range of projects supported by the Commonwealth Government's HAFF – Round 2. The projects will deliver South Australia's notional allocation for Round 2, which has a target of 5 000 dwellings nationally, and will include apartments and stand-alone homes.

This forms part of the Commonwealth Government's HAFF commitment to support the delivery of 20 000 social housing homes across Australia over a five year period. The state government will build the homes, with the Commonwealth Government supporting the projects by providing annual funding payments.

### ONKAPARINGA HEIGHTS

**$30.5 million over six years** to deliver the Onkaparinga Heights development site to market, which is expected to provide at least 2 000 residential housing lots.

### SOUTHWARK MASTER PLAN

**$104.7 million over six years** to deliver the Southwark Master Plan project, which will provide up to 1 300 dwellings including 20 per cent affordable housing and over 15 per cent new public open space to revitalise this key city fringe site that was formerly the location of the West End Brewery.

### REMOTE ABORIGINAL HOUSING

**$12 million in 2025-26** to continue delivering property and tenancy management services for selected remote Aboriginal communities following the cessation of the Commonwealth Government funding.

### RENT-TO-BUY AFFORDABLE HOUSING INITIATIVE

100 properties under construction as part of the current Affordable Housing Initiative will be allocated to a rent-to-buy scheme for up to three years, before progressing with the sale as affordable home purchase opportunities. The properties will initially be rented out to eligible households at 75 per cent of market rent with renters pre-qualified and intending to purchase the property at the end of the lease.



# 25 cents

## PER TRIP

## TO GET TO AND FROM SCHOOL

**$20.7 million over four years** to permanently reduce the price of a metroCARD student 28-day pass to $10 in 2025-26 (currently $28.60).

This will save families up to $242 per year per student.

# $118.3 million

## COST OF LIVING RELIEF

Over the last four budgets, the government has invested almost **$1 billion** in cost of living relief to support South Australians facing financial pressures, through increases in the cost of living concessions, reduction to the materials and services charge for students and cheaper public transport.

### SCHOOL MATERIALS AND SERVICES CHARGE REDUCTION

**$96 million over four years** to continue the $200 reduction to parents and caregivers of over 120 000 students for the materials and services charge applied per student by government schools. This measure provides annual support to government school families towards cost of living challenges.

### REMOTE AREA ENERGY SUPPLY – FUEL COSTS

**$1.6 million in 2024-25** to support the Remote Area Energy Supply scheme due to a rise in the price of diesel fuel required to provide energy services to remote communities and townships serviced by the scheme.

### CTP PREMIUMS

All vehicle owners will continue to benefit from the former Labor government's reforms to the competitive CTP insurance scheme. Drivers of an average four-cylinder vehicle will save almost $150 per year, compared to fees when the scheme was introduced in 2019 – a saving of 36 per cent.

For most motorists, total car registration costs will be increasing by just 1.7 per cent, well below the current Adelaide CPI of 2.2 per cent, with the CTP premium limited to an increase of $1.36 for the entire year.

### SAVINGS FOR HOUSEHOLDS

The budget continues to provide savings for households. For example, a family with two school-aged children could save $1 084 in 2025-26 through the student 28-day pass fare reduction, the extension of the school materials and services charge reduction and the expansion of the sports voucher program.

**FAMILY SAVINGS**

| | |
|---|---|
| Student 28-day pass fare reduction *($242 per student)* | $484 |
| Materials and services charge reduction *($200 per student)* | $400 |
| Sports voucher program expansion *(additional $100 per student as announced in the 2024-25 Budget)* | $200 |
| **Total savings** | **$1 084** |

When combined with the Commonwealth Government tax cuts and energy bill relief, the same family on a combined taxable income of $150 000, could save over $4 300 in 2025-26.

The Commonwealth Government has also committed to reduce Higher Education Loan Program (HELP) debts by 20 per cent, and lower repayment thresholds, from 1 July 2025 subject to the passage of legislation.



# $1.9 billion

## OVER THE PERIOD 2024-25 TO 2028-29

## INVESTMENT IN OUR HEALTH SYSTEM

The government continues to make significant investments in South Australia's health system with a further $1.9 billion over five years to meet growing demand for services, improve our facilities and roll out new models of care and support for the community.

In its last four budgets, the government has invested an additional $9 billion in our state's health system, which includes funding for more than 130 new mental health beds that will be brought online across South Australia.

# HEALTH



## ADDITIONAL HOSPITAL ACTIVITY

**$1.7 billion over five years** to address the increasing levels of demand experienced across our public health system, and the higher cost of service delivery across local health networks.

This funding includes new investment of approximately **$117 million** over five years, to support our mental health services to meet growing demand and costs.

## SOUTH AUSTRALIA COMPREHENSIVE CANCER NETWORK

**$77 million over five years** to support the establishment of a statewide cancer network to maximise cancer prevention, early detection and transform the delivery of cancer care.

This initiative is funded by the Commonwealth Government.

## NEW MOUNT BARKER HOSPITAL

**$45 million over three years** to support the delivery of the new Mount Barker Hospital and ensure the government's election commitment will be delivered.

The new Mount Barker Hospital will provide 102 beds, and include mental health, rehabilitation, maternity, palliative care, and surgical services.

## SUPPORTING OLDER SOUTH AUSTRALIANS

**$42.9 million over four years** to support older people who are, or are at risk of becoming, long stay hospital patients, including a Geriatric Outreach Service and Patient Support Initiative that will support their transition into residential aged care facilities and other settings.

This initiative is funded by the Commonwealth Government.

## MENTAL HEALTH CO-RESPONDER PROGRAM

**$13.9 million over five years** to support the continuation of the Mental Health Co-Responder Program in northern and central metropolitan Adelaide and expand the program to southern Adelaide. The program pairs a police officer with a mental health clinician to respond to mental health triple zero call outs across metropolitan Adelaide, and has prevented around 2 500 emergency department presentations since establishment.

The expansion to southern Adelaide is expected to prevent a further 800 emergency department presentations per year.

## WOMEN'S AND CHILDREN'S HOSPITAL – ALUMINIUM COMPOSITE PANELLING REPLACEMENT

**$8 million over three years** to remove and replace aluminium composite panels, and upgrade fire protection systems and fire indicator panels at the Women's and Children's Hospital - Gilbert Building.

## BORDERTOWN MEMORIAL HOSPITAL – AGED CARE INFRASTRUCTURE UPGRADES

**$8 million over three years** to support aged care infrastructure upgrades at Charla Lodge Bordertown Memorial Hospital.

This initiative is funded in partnership with the Commonwealth Government.

## EXPANDED SCOPE OF PRACTICE FOR PHARMACISTS

**$2.2 million over three years** to support the implementation of the community pharmacy expanded scope of practice initiative which will enable South Australians to attend a local pharmacy for assessment and treatment of a range of conditions.



# $1.25 billion

## COMMITMENT TO CHILDREN'S EDUCATION

In January 2025, the state and Commonwealth Government signed the new *Better and Fairer Schools Agreement* providing an additional **$1.25 billion** joint investment in education over ten years, with the state contributing $340 million. As a result, public schools in South Australia will receive increased Commonwealth and state funding and will achieve 100 per cent of School Resource Standard funding by 2034.

### NEW BIRTH TO YEAR 6 SCHOOL IN NORTHERN METROPOLITAN ADELAIDE

**$70 million (including $44 million beyond 2028-29)** to respond to demand for school enrolment places in northern metropolitan Adelaide by providing an additional 460 places (60 preschool and 400 primary school) through the construction of a new Birth to Year 6 school.

### INVESTING IN SCHOOL ASSETS

**$40 million over four years** to support additional investment to improve the amenity of the government's existing school and preschool infrastructure.

### GENERAL SIR JOHN MONASH FOUNDATION

**$5 million over five years** for South Australia to join other states and territories funding postgraduate scholarships for talented locals to study overseas.

### TAUONDI ABORIGINAL COMMUNITY COLLEGE – SITE REMEDIATION

**$10.9 million over five years** to undertake remediation and refurbishment works, providing suitable infrastructure to support Tauondi's sustainability and growth.

### THE EMBRACE COLLECTIVE – IMPLEMENTATION PLAN

**$1.5 million over four years** to support the implementation of the full suite of Embrace programs across the state. Embrace programs aim to help children and young people build positive body image, develop resilience, reduce the risk of mental illness and eating disorders and increase participation in sport and learning.

### STUDENTS WITH DISABILITY

An estimated **$50 million** over four years has been allocated to give schools greater autonomy to respond to students with disability, and to establish new specialised education options in schools. This certainty of funding helps schools and the system to better plan staffing and resources that respond to the needs of their students, whilst also reducing workload in preparing individualised applications for students with lower levels of need.

### TAILORED LEARNING

From the 2025 school year, **$48.3 million** over three years has been allocated to support secondary students at risk of disengaging from their learning. Greater school oversight and more student supports offered within the school setting by appropriately trained and resourced school staff, where possible, aim to help students remain connected and re-engage with their learning.


HOPE

# $1.9 billion

## INVESTMENT IN EARLY CHILDHOOD SERVICES

2024-25 marked the formal establishment of the Office for Early Childhood Development and a record **$1.9 billion** investment to 2032 to deliver universal 3-year-old preschool and broader early years reform. Additional funding in this budget will accelerate the roll out of these reforms and increase early childhood enrolment capacity in areas of high demand.

### EXTENDING THE LOW INTEREST SCHOOL LOANS SCHEME TO NOT-FOR-PROFIT EARLY CHILDHOOD EDUCATION AND CARE PROVIDERS

**$178 million** to support infrastructure projects that will increase enrolment capacity. The next round of the scheme is now open for loans of up to $10 million.

### ACCELERATING 3-YEAR-OLD PRESCHOOL COMMISSIONING IN LONG DAY CARE

**$27.7 million over four years** to accelerate the roll out of 3-year-old preschool in a long day care setting. This reform will now commence from January 2026 at over 200 long day care sites and 45 Department for Education sites across South Australia. Approximately 75 per cent of these services are in metropolitan Adelaide and 25 per cent are in regional South Australia.

This funding will provide over 2 000 additional places from 2026 and bring forward the long day care roll out by 12 months.

### KINDY CARE TRIALS

**$3 million over two years** for the continuation of current preschool out of school hours care (Kindy Care) trials operating at up to 20 sites across South Australia.



### 3-YEAR-OLD PRESCHOOL ROLL OUT

Over the past 12 months, strong foundations have been laid to support long-term, system-wide change and stronger outcomes for South Australia's children.



# $2.4 billion

## SOVEREIGN STEEL PACKAGE

The state government is partnering with the Commonwealth Government to secure the long-term future of the Whyalla steelworks, support local jobs and encourage more investment into Australian made iron and steel.

The state government is contributing **$650 million** towards the support package.

**$192 million**
stabilising the steelworks during administration

**$395 million**
modernising the steelworks and ensuring future sustainability

**$63 million**
emergency response package

## $384 million

### STABILISING THE STEELWORKS

to fund the Whyalla steelworks' operations during administration, for approximately six months. This funding is critical to ensuring workers and contractors will have ongoing work at the steelworks and will continue to be paid.

Acknowledging the likelihood of an extended sale process, a further $384 million is provisioned in 2025-26 on the basis that the Commonwealth Government will agree to continue to contribute on a 50:50 basis.

## $1.9 billion

### INVESTING IN THE STEELWORKS' FUTURE

to support a new owner to invest in the necessary upgrades and new infrastructure which will be vital to ensuring the steelworks has a sustainable, long-term future.

To prioritise securing the steelworks' future, the government will defer the implementation of its Hydrogen Jobs Plan and reallocate funding for the new hydrogen production facility to this initiative.

# $99.2 million

## WHYALLA EMERGENCY RESPONSE PACKAGE

to provide immediate on the ground support for the Whyalla community through a targeted emergency response package that provides financial relief for South Australian businesses, invests in infrastructure upgrades and supports impacted employees and workers.

Specific measures under this package include:

### SOUTH AUSTRALIAN BUSINESS CREDITOR ASSISTANCE SCHEME

**$50 million in 2024-25** to provide grants of up to $5 million to support the continued operation of eligible South Australian businesses that have been directly impacted by OneSteel being placed into administration.

### WHYALLA SMALL LOCAL BUSINESS SUPPORT

**$7 million over two years** to support small local businesses in Whyalla impacted by the administration of the steelworks.

Support includes:

- providing $10 000 grants for eligible small businesses operating in Whyalla experiencing a 20 per cent or greater reduction in turnover compared to the previous year
- a dedicated small business support team
- financial advisory services
- legal support and services
- deferral of 2024-25 state taxes and government business charges for up to 12 months
- establishing the Whyalla Special Economic Zone to incentivise greater involvement of local suppliers in state-funded procurements in the region.

### WHYALLA SURF CLUB AND CAFÉ

**$2.5 million in 2024-25** to fund upgrades to the Whyalla Surf Club and Café, which together with other available funding takes total government support to $5 million.

### WHYALLA AIRPORT UPGRADE

**$30 million over two years** to ensure aviation services can continue to Whyalla following the replacement of Qantas' existing fleet with larger and faster aircraft from February 2025. The upgrade will strengthen the airport's runway to enable larger, heavier aircraft to land safely.

### WHYALLA WORKFORCE SUPPORT

**$7.6 million over three years** to support the Whyalla workforce impacted by the administration of the steelworks, including:

- Spencer Gulf Jobs and Skills Hub
- free accredited training to workers and contractors from the Whyalla steelworks and its supply chain
- career transition service
- apprentice retention program.

### WHYALLA COMMUNITY SUPPORT

**$2 million over two years** to support the local community to navigate the current challenges in Whyalla, including:

- appointment of a Whyalla Regional Coordinator to lead the coordination of the emergency response, and liaise with the community, employees and businesses to connect them with key support services
- mental health and family support services.

### CUTTLEFISH EXPERIENCE PROJECT

**$100 000 in 2024-25** for a study into design options for the Cuttlefish Cove Experience.



PHOTO CREDIT: SOUTH AUSTRALIAN TOURISM COMMISSION

# $73.4 million

## TO SUPPORT DROUGHT AFFECTED FARMERS

### DROUGHT SUPPORT PACKAGE

**$55.4 million over five years** including $39.6 million in short-term support across 2024-25 and 2025-26.

The package builds upon the $18 million in initial assistance announced by the state government in November 2024, taking the total drought assistance available to $73.4 million.

The additional measures include:

- **$17.3 million** for future drought preparedness and resilience programs
- **$13 million** for grants to primary producers to implement infrastructure projects that assist in managing drought conditions, as part of the On-Farm Drought Infrastructure Rebate scheme
- **$4.5 million** for a subsidy on the cost of electronic identification tags for farmed sheep and goats, as part of stage 2 of the program
- **$4 million** for an additional contribution towards the freight costs of charitable organisations that are delivering donated fodder to primary producers
- **$3.1 million** for support towards the management of pests on rural properties, including deer, rabbits and kangaroos
- **$2.5 million** for essential, on-the-ground mental health resources and support for individuals and communities affected by the current drought
- **$2.5 million** towards the upgrades of standpipes in regional areas to support improved access to potable water for households not connected to mains water
- **$2 million** for the provision of active club grants up to $5 000 in regional areas for the upgrade of sporting and recreational facilities in drought affected sporting clubs and communities
- **$2 million** for rural business support relief grants of $1 500 to help cover essential costs such as council rates, utility bills, vehicle repairs and school costs
- **$1.5 million** for business support and counselling services to small businesses in drought affected towns and regions
- **$1 million** additional contribution to the Rural Financial Counselling Service to support drought affected primary producers
- **$500 000** to make stock water available from Bundaleer and Beetaloo Reservoirs
- **$400 000** to develop and encourage new regional events in drought affected areas through the Regional Event Fund
- **$250 000** additional contribution to the Connecting Communities Events Grants program
- **$250 000** to provide financial support for country students affected by drought to attend camps and excursions.

The package will also provide eligible primary producers with a 12 month rebate of the Emergency Services Levy and motor vehicle registration fees for up to three commercial vehicles. Primary producers will need to be in receipt of the Commonwealth Farm Household Allowance to be eligible.




# $20 million

## IN 2025-26

## POWERING BUSINESS GRANTS

to support eligible South Australian small and medium businesses and not-for-profit organisations to invest in energy efficient equipment or improvements to reduce and manage energy use and costs. Businesses will be able to apply for a grant ranging from $2 500 to $75 000, subject to meeting eligibility requirements.

This builds on the successful roll out of small business energy efficiency grants in 2024-25, which supported over 1 000 South Australian small businesses and not-for-profit organisations.

Applications will be opened in July 2025, with businesses able to register their interest in the meantime.

### VENTURE CAPITAL FUND

Establishment of a new South Australian Early-Stage Venture Capital Fund that will seek to grow the innovation ecosystem in South Australia through venture capital investments into South Australian companies in need of equity capital to support commercialisation and growth into national and global markets.

The government will contribute **$50 million** and seek further contributions from potential investors to grow the fund.

### PUBLIC PRIVATE PARTNERSHIPS

Following release of the 2025-26 Budget, the government will approach the market with a pipeline of potential projects to be delivered via a Public Private Partnership (PPP) approach, including:

- Northern pre and primary school
- Northern high school
- Mount Barker pre and primary school
- Northern property store (SA Police)
- Two Wells police station

Further infrastructure projects may be identified and added to the program over time, where delivery via a PPP is considered beneficial.

# $135.4 million

## TO FURTHER SUPPORT THE ECONOMY

### NATIONAL COLLABORATIVE RESEARCH INFRASTRUCTURE STRATEGY (NCRIS)

**$30 million over four years** to support step change upgrades to South Australian based NCRIS facilities to ensure South Australian researchers and industry continue to have access to the critical research and innovation infrastructure to remain globally competitive.

### WHYALLA TRANSFORMATION, TURBINE DIVESTMENT AND HYDROGEN INDUSTRY DEVELOPMENT

**$12.1 million over four years** for oversight of the Whyalla steelworks' industrial transformation, the divestment of hydrogen enabled gas turbines acquired as part of the now deferred Hydrogen Jobs Plan, and to explore new investment opportunities in the hydrogen sector.

### 31ST CONFERENCE OF THE PARTIES (COP31)

**$8.3 million over two years** for early works to prepare to host COP31 in November 2026, should the Commonwealth Government be successful in its bid. This includes significant planning for security, transport and infrastructure.

### ACCO SERVICE TRANSITION FUND

**$5 million over three years** for grants to Aboriginal community-controlled organisations to prepare for the delivery of government services for Aboriginal people and communities, in line with the National Agreement on Closing the Gap targets.

### TRADE AND INVESTMENT – GLOBAL TRADE AND TARIFFS

**$5 million over two years** to support South Australian industries and businesses impacted by the current global trade environment and tariffs. This initiative will deliver case management services and capability development programs including market intelligence, targeted business missions and facilitate importer visits to South Australia to support exporters to diversify and access new markets.

### SMALL BUSINESS STRATEGY EXPANSION

**$3.2 million over four years** to provide continued support for small and family business owners to accelerate growth, profitability and access to new markets and increase their ability to adapt to current challenges through the small business profitability and growth program. A business to government portal feasibility study and business case will be developed with the aim of streamlining red tape, licensing and payments.

### SOUTH AUSTRALIAN BUSINESS CHAMBER – GROWTH ACCELERATOR PROGRAM

**$1.8 million over four years** to assist high growth potential small and medium businesses to improve their business practices, management capabilities, and networks through the provision of expert business advice and facilitated workshops.

# DEFENCE




## CONTINUATION OF DEFENCE INNOVATION PARTNERSHIP

**$13.5 million over four years** to extend and expand the programs and operations of the Defence Innovation Partnership (DIP). Since its establishment in 2017, the DIP has strengthened South Australia's defence research, development and innovation ecosystem through partnering with the Commonwealth Government via the Department of Defence's Defence Science and Technology Group, the South Australian universities, and defence industry.

## ADVANCED MANUFACTURING AND DEFENCE UPLIFT

**$3.3 million over two years** to assist South Australian businesses develop the requisite capability and capacity to enter global supply chains for nuclear-powered submarines and support Australian defence programs, including the SSN-AUKUS build program.

## DEFENCE TEAMING CENTRE – SA DEFENCE INDUSTRY SUSTAINMENT PROJECT

**$1.7 million over four years** to support the Defence Teaming Centre in helping industry leverage national defence strategies and advocate for small and medium enterprise in government policy and strategy implementation.

## VETERANS SA INDUSTRY INTEGRATION AND PARTNERSHIPS PROGRAM

**$1 million over four years** to enhance the South Australian veteran community's employment opportunities by partnering with companies in high demand sectors to establish veteran-friendly employment pathways, solidifying the state's leadership in veteran support.

# $103 million

## EXPANDING THE DIGITAL INVESTMENT FUND

bringing the total value of the digital investment fund to $326.5 million.

### DIGITAL INVESTMENT FUND – ADDITIONAL FUNDING

**$75 million over four years** to provide increased and ongoing capacity for the investment in digital modernisation and cyber security initiatives across the South Australian public sector.

### DIGITAL INVESTMENT FUND – ARTIFICIAL INTELLIGENCE PROGRAM

**$28 million over four years** to establish a specific Artificial Intelligence (AI) program within the government's digital investment fund to maximise the benefits of AI applications across the public sector.

Through targeted proof of value trials in priority areas, this funding will provide support for broad applications across government and allow multiple use cases to be developed on trusted foundational technologies, with appropriate governance, and alignment to the investment principles of the digital investment fund.

Priority areas for funding include:

**Healthcare:** Integrating AI in specific areas of healthcare can reduce costs and improve operational efficiency, allowing healthcare professionals to spend more time with patients.

**Policing:** AI tools to enhance efficiency and safety, support real-time decision making, reduce administrative burden, help allocate resources effectively, and free up time for more value-added work.

**Other areas:** Allied health, social work, and legal and financial areas of the public sector.



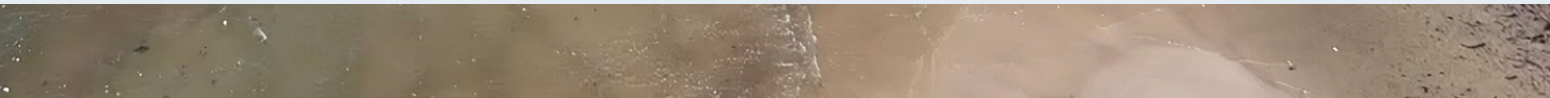


# $14 million

## IN 2025-26

## ADELAIDE BEACHES REPLENISHMENT

to enable the continued replenishment of sand at West Beach and other Adelaide coastal areas and to extend the implementation of the recommendations of the Adelaide Beach Management Review.



# ENVIRONMENT & WATER



### ADVANCED SOFT PLASTICS RECYCLING TECHNOLOGY PROJECT

**$20 million over two years** for Recycling Plastics Australia to expand its operations and upgrade its facility, enabling significantly higher recycling and recovery rates of hard-to-recycle plastics and supporting long-term job creation in South Australia's resource recovery sector. Funded by the Commonwealth Government.

### WETLAND HABITAT PROJECT

**$17 million over three years** to deliver a range of on-ground works to improve wetland habitat across the Coorong, Lower Lakes and Murray Mouth. Funded by the Commonwealth Government.

### WILDLIFE CARER SECTOR REFORMS

**$7.6 million over four years** to improve engagement with, and support, the volunteer wildlife rehabilitation sector, provide grants for veterinary support for injured wildlife and improve the health of South Australia's biodiversity.

### NILPENA STATION ACQUISITION

**$4 million in 2024-25** for the acquisition of the remainder of the Nilpena Station pastoral lease, adding 26 000 hectares to the Nilpena Ediacara National Park and improving the biosecurity and protections of local habitats and ecological communities.

### SOUTH EASTERN WATER CONSERVATION AND DRAINAGE BOARD – CRITICAL SAFETY INTERVENTIONS

**$2.4 million over four years** to provide immediate guard railing repair works and investigate cost recovery options to address repairs and maintenance needs for infrastructure within the drainage network in the state's south-east.



PHOTO CREDIT: SOUTH AUSTRALIAN TOURISM COMMISSION

## $109.7 million

### TO SUPPORT THE RIVER MURRAY

including a range of measures to enhance environmental flows, improve basin health, increase usage of metering telemetry and modernise planning and forecasting. Funded by the Commonwealth Government.

**$1.7 million** is also provided to extend the appointment of a Commissioner for the River Murray in South Australia.



# $20 million

## OVER FOUR YEARS

## MULTICULTURAL COMMUNITY FUND

to establish a Multicultural Community Fund to support our multicultural community to develop and upgrade community infrastructure facilities and assist in hosting festivals and events that celebrate cultural diversity.

Community facilities and multicultural festivals deliver valuable social and cultural outcomes by providing safe and welcoming spaces for community members of all ages and backgrounds to gather and interact.

Detailed guidelines will be made available on the Multicultural Affairs website.

# $111.8 million

## SUPPORT FOR VULNERABLE SOUTH AUSTRALIANS

### OUT OF HOME CARE – ADDITIONAL RESOURCES

**$85.1 million over four years** to support children and young people in care. The Department for Child Protection is actively committed to supporting family-based carers and continues to focus on increasing the number of children and young people being cared for in a family-based environment.

### CONTINUOUS MONITORING FOR SCREENING CHECKS

**$8.2 million over four years** to ensure continuous monitoring notifications are assessed in a timely manner and risks to children and vulnerable adults are reduced.

### REMOTE VISITOR RESPONSE – ADELAIDE, COOBER PEDY AND WHYALLA

**$4.3 million over four years** to continue return to country and support services in Coober Pedy, Whyalla and Adelaide to support the safety and wellbeing of remote Aboriginal visitors.

### DISABILITY ACCESS AND INCLUSION

**$3.8 million over four years** to continue work associated with National Disability Insurance Scheme reform and the findings of the Royal Commission into Violence, Abuse, Neglect and Exploitation of People with a Disability.

### FINDING FAMILIES AND ADDITIONALLY APPROVED CARE PROGRAMS

**$3.3 million over two years** to continue the Finding Families and Additionally Approved Care programs in order to support the placement of children and young people in family-based care.

### CONTINUATION OF CHILD DIVERSION PROGRAM

**$3 million over four years** to continue the child diversion program, diverting Aboriginal children aged between 10-14 years who have been charged with a minor offence away from a custodial environment with appropriate supports.

### SOUTH AUSTRALIAN AUTISM ASSESSMENT AND DIAGNOSIS TRAINING SUPPORT

**$2.1 million over five years** to support the Office for Autism in helping to address the barriers to autism assessment and diagnosis.

### INCREASE STAFFING OF THE CHILD ABUSE REPORT LINE

**$2 million over two years** to increase staffing of the Child Abuse Report Line to manage the continuing growth in notifications and reports of abuse and neglect.

# TOURISM



**$10.9 million**

**OVER FOUR YEARS**

## BUSINESS EVENTS ADELAIDE

to attract major and international business events, conventions, trade shows and conferences to South Australia. Business delegates spend significantly more per person than leisure visitors with business events worth more than $2.5 billion to South Australia.

### INTERNATIONAL FLIGHTS

The commencement of a number of non-stop international flights direct from Adelaide will deliver a huge boost to the state's economy and connect South Australia with key international tourism and trade markets, with the following services to operate seasonally from late 2025, including the first ever direct route between South Australia and the United States of America:

- Qantas direct flight to Auckland from October 2025
- Cathay Pacific direct flight to Hong Kong from November 2025
- United Airlines direct flight to San Francisco from December 2025.

These services, subject to regulatory approval, will operate multiple times per week and complete the re-establishment of all international routes flying into Adelaide prior to COVID-19.



PHOTO CREDIT: DANIEL BOUD

# $13 million

## OVER FOUR YEARS

## ARTS AND CULTURAL POLICY

to deliver on the government's arts and cultural policy 'A Place to Create'. Funding will be used to enhance access to arts and cultural experiences, support artists and creatives, and ensure the sustainability of arts organisations and cultural institutions.

### PORT AUGUSTA WHARF UPGRADE

**$15 million over two years** to upgrade the Port Augusta wharf to allow public access and amenity for recreational purposes.

This project is funded in partnership with the Commonwealth Government.

### STATE SPORTS VENUE UPGRADES

**$7.5 million in 2026-27** to replace the track at the Adelaide Super-Drome and to undertake works at the Parks Recreation and Sport Centre.

### COUNTRY ARTS SA – REGIONAL ARTS CENTRE UPGRADES

**$3.9 million over three years** for essential upgrades to regional arts centres in Whyalla, Port Pirie, Mount Gambier and Renmark.

### LOS ANGELES 2028 OLYMPIC AND PARALYMPIC TEAM APPEAL

**$1 million over four years** towards the Los Angeles 2028 Olympic and Paralympic Team Appeal.

# EMERGENCY SERVICES




## AIRCRAFT EXTENSIONS AND MAJOR INCIDENTS

**$11.1 million in 2024-25** for the extension of aerial firefighting aircraft availability in line with bushfire risk and costs associated with significant fire events.

## STRUCTURAL FIREFIGHTER TRAINING

**$5.9 million over four years** to improve training for Country Fire Service volunteers responding to structural fires.

## STATE BUSHFIRE RISK MAPPING REDEVELOPMENT

**$2.8 million over four years** to improve bushfire risk mapping based on automated modelling of the likely bushfire impacts.

## REMOTELY PILOTED AIRCRAFT PROGRAM

**$2 million over four years** for the ongoing replacement of remotely piloted aircraft (drones) used by the State Emergency Service in emergency incidents to provide reconnaissance, intelligence gathering and hazard assessment.

## BUSHFIRE HAZARD OVERLAY CODE AMENDMENT

**$859 000 over three years** for development assessment activity associated with changes to the statewide bushfire hazard overlay code amendment.

## VOLUNTEER MARINE RESCUE – ADDITIONAL SUPPORT

**$687 000 over three years** to continue supporting the state's Volunteer Marine Rescue associations in providing their rescue capability.

## JET RESCUE BOAT REPLACEMENT

**$250 000 in 2025-26** towards the replacement of Surf Life Saving South Australia's Lifesaver 3 jet rescue boat.

## EMERGENCY SERVICES LEVY

The Emergency Services Levy bill for a median valued metropolitan residential property will increase by 4.2 per cent in 2025-26.

# PRIMARY INDUSTRIES






## $44.4 million

### OVER FOUR YEARS

### REPLACEMENT COASTAL RESEARCH VESSEL

for the purchase of a replacement coastal research vessel, delivered in conjunction with the Commonwealth Government.

### FRUIT FLY ERADICATION RESPONSE

**$45 million in 2025-26** to continue emergency fruit fly response activities following further outbreaks, assisting in protecting South Australia's pest free status and providing market access continuity for the state's horticulture products.

### BIOSECURITY MEASURES

**$11.8 million over five years** for costs associated with Tomato brown rugose fruit virus (ToBRFV), High Pathogenicity Avian Influenza responses and Electric Ant Eradication Program, including contributions from other government parties and industry towards the ToBRFV response in South Australia.

### SUPPORT TO SOUTH AUSTRALIAN DAIRY FARMERS

**$3 million in 2024-25** to support South Australian dairy farmers impacted by the collapse of Beston Global Food group.

# WOMEN'S STATEMENT



Achieving equality for women and girls requires a collective effort, and the Malinauskas Government remains committed to creating a future where all women and girls are safe, supported and empowered.

This budget includes initiatives to help deliver that future including addressing the prevalence of domestic, family and sexual violence (DFSV), improving health and wellbeing, and empowering women to fully engage in the South Australian economy.

Women's participation in the workforce, in both traditional industries and male-dominated roles, is important for their financial independence and our economy. This budget continues sustainable investments in measures that progress gender equality.

The 2025-26 Budget initiatives align with the Women's Equality Blueprint 2023-26 which sets out the areas of importance for advancing gender equality in the state. Improving women's health, safety, and economic participation will help the South Australian economy grow and thrive.

## CONTINUED GOVERNMENT INVESTMENT

- **$26.1 million** contribution towards the renewed Family, Domestic and Sexual Violence Responses National Partnership Agreement (FDSV NPA).
- **Domestic Violence Crisis Line** – **$880 000** per annum to boost staffing levels and call response capacity to victim-survivors.
- **$5.7 million over two years** to continue specialist DFSV programs and associated program support.
- **$5 million over four years** to support child and adolescent mental health and eating disorder services.

## ACHIEVEMENTS

- **$15.7 million housing development** that will provide affordable and secure long-term rental accommodation for women, prioritising survivors of domestic violence.
- **$5.4 million** for women and girls sport funded through **Power of Her Round 2**.
- **320 scholarships** provided to attract and retain early childhood educators.
- **17 Kindy Care locations** established with over **200 enrolments**.
- **More than 2 700** coaches, players and club officials participated in the *Raiise* respectful environments education program.

## SAFETY AND SECURITY

### ADDITIONAL PUBLIC TRANSPORT SECURITY

**$9.6 million over four years** to improve safety and security on the bus network, delivering a safer and more accessible transport system.

### FAMILY, DOMESTIC AND SEXUAL VIOLENCE

**$3.5 million over two years** to continue resourcing to support implementation of the FDSV NPA and to coordinate a whole of government response to the final recommendations of the Royal Commission.

The budget ensures we have capacity to quickly respond to accepted recommendations of the Royal Commission.

### DOMESTIC VIOLENCE PREVENTION AND RECOVERY HUBS

**$2 million over two years** to continue and expand the northern and southern domestic violence prevention and recovery hubs to support people experiencing domestic violence.

## ECONOMIC WELLBEING

### HOUSING PACKAGE

**$552.4 million** to support new home construction to facilitate increased access to home ownership, including additional affordable housing and a new rent-to-buy initiative.

### SMALL BUSINESS STRATEGY EXPANSION

**$3.2 million over four years** to provide continued support for small and family business owners, of which around 40 per cent are women, to accelerate their growth and profitability.

## LEADERSHIP AND PARTICIPATION

### ACCELERATING 3-YEAR-OLD PRESCHOOL COMMISSIONING IN LONG DAY CARE

**$27.7 million over four years** to accelerate the roll out of 3-year-old preschool in a long day care setting, increasing flexibility for primary caregivers, predominantly women, wanting to re-enter the workforce.

### KINDY CARE TRIALS

**$3 million over two years** for the continuation of current preschool out of school hours care (Kindy Care) trials, improving flexibility in workforce participation for primary caregivers.

## WOMEN'S HEALTH

### EXPANDED SCOPE OF PRACTICE FOR PHARMACISTS

**$2.2 million over three years** to support the implementation of expanded community pharmacy services, providing increased healthcare choice and access.

### THE EMBRACE COLLECTIVE IMPLEMENTATION PLAN

**$1.5 million over four years** to support the implementation of Embrace programs that aim to help children and young people build positive body image.

### FREE PERIOD PRODUCTS FOR TAFE SA STUDENTS

**$300 000 in 2025-26** to install more than 140 dispensers in bathrooms to provide TAFE SA students with access to free period products.

# REGIONS

# $1.8 billion

## NEW MEASURES SUPPORTING REGIONAL SOUTH AUSTRALIA

### ACROSS REGIONS

**$656.3 million from 2025-26** to deliver upgrades between the Swanport Bridge on the Princes Highway and Truro on the Sturt Highway.

**$109.7 million over four years** to support River Murray environmental flows, improve basin health, increase coverage of metering telemetry and modernise planning and water delivery processes.

**$55.4 million over five years** to support farmers affected by drought. This is in addition to the $18 million in initial assistance announced in November 2024.

**$45 million in 2025-26** to continue emergency fruit fly response activities following further outbreaks.

**$29.6 million over three years** for the expansion of the successful Police Security Officer model into regional areas.

**$12 million in 2025-26** to continue delivering property and tenancy management services for selected remote Aboriginal communities.

**$10 million over two years** to deliver additional road safety maintenance across regional South Australia.

**$11.8 million over five years** for costs associated with Tomato brown rugose fruit virus, High Pathogenicity Avian Influenza responses and Electric Ant Eradication Program.

**$11.1 million in 2024-25** for the extension of CFS aerial firefighting aircraft availability in line with bushfire risk and costs associated with significant fire events.

**$7.5 million over three years** towards regional road safety infrastructure upgrades.

**$5.9 million over four years** to improve training for CFS volunteers responding to structural fires.

**$3.9 million over three years** for essential upgrades to regional arts centres in Whyalla, Port Pirie, Mount Gambier and Renmark.

**$3.4 million over four years** for security enhancements across regional prisons.

**$3 million in 2024-25** to support South Australian dairy farmers impacted by the collapse of Beston Global Food group.

**$2.8 million over four years** to improve bushfire risk mapping based on automated modelling of the likely bushfire impacts.

**$2.5 million over four years** to continue return to country and support services in Coober Pedy and Whyalla to support the safety and wellbeing of remote Aboriginal visitors.

**$1.7 million over three years** to extend the appointment of a Commissioner for the River Murray in South Australia.

**$1.6 million in 2024-25** to support the Remote Area Energy Supply scheme.

**$1.4 million over three years** to further engage the community and help change unsafe behaviours on the road.

**$1 million over four years** for the ongoing replacement of remotely piloted aircraft (drones) used by the SES for reconnaissance, intelligence and hazard assessment.

**$859 000 over three years** for development assessment activity associated with changes to the statewide bushfire hazard overlay code amendment.

**$605 000 over four years** to support business owners through the small business profitability and growth program.

**$345 000 over three years** to support the state's Volunteer Marine Rescue associations in providing their rescue capability.





## ADELAIDE HILLS

**$45 million over three years** to support the delivery of the new Mount Barker Hospital, which will provide 102 beds, and include mental health, rehabilitation, maternity, palliative care, and surgical services.

**$12.5 million over five years** to transition the current Mount Barker On-Demand (Keoride) trial service into a permanent Adelaide Metro service, and to purchase new buses and undertake associated infrastructure upgrades.

## BAROSSA/ LIGHT AND LOWER NORTH

**$633 000 over four years** for priority projects at Hewett and Two Wells primary schools.

**TWO WELLS POLICE STATION**
The construction of a new police station in Two Wells.

## EYRE AND WESTERN

**$2.4 billion from 2024-25** to secure the long-term future of the Whyalla steelworks and support the Whyalla community. $1.2 billion is budgeted over six years from 2024-25 including state funding for the support package and the components of Commonwealth funding that flow through the state.

**$12.1 million over four years** for Whyalla transformation, turbine divestment and hydrogen industry development.

## FAR NORTH

**$15 million over two years** to upgrade the Port Augusta wharf to allow public access and amenity for recreational purposes.

**$4.3 million in 2025-26** to upgrade the existing heavy vehicle rest area at Arcoona and construct a new rest area at Pimba on the Stuart Highway.

**$4 million in 2024-25** for the acquisition of the remainder of the Nilpena Station pastoral lease.

**$1.8 million in 2025-26** to undertake remediation works within the Innamincka Regional Reserve following damage incurred as a result of ex-tropical Cyclone Kirrily.

**$1.8 million in 2025-26** to continue to reduce public safety risk arising from the Leigh Creek Coalfield site through the management of legacy environmental challenges.

**$994 000 over five years** to the Outback Communities Authority to support improved public facilities and community services in outback communities.

## FLEURIEU AND KANGAROO ISLAND

**$80 million over five years** for safety improvement works along Main South Road between Myponga and Yankalilla, including new overtaking lanes and road widening.

## LIMESTONE COAST

**$8 million over three years** to support aged care infrastructure upgrades at Charla Lodge Bordertown Memorial Hospital.

**$2.4 million over four years** for critical safety interventions in the south east drainage network.

**$1.4 million over two years** to set up and operate an additional 19 transition beds at Mount Gambier Prison to provide immediate additional prisoner capacity.

## MURRAY AND MALLEE

**$17 million over three years** to improve wetland habitat across the Coorong, Lower Lakes and Murray Mouth.

## YORKE AND MID NORTH

**$581 000 over two years** to minimise lead exposure and increase lead aware behaviours in the Port Pirie community.

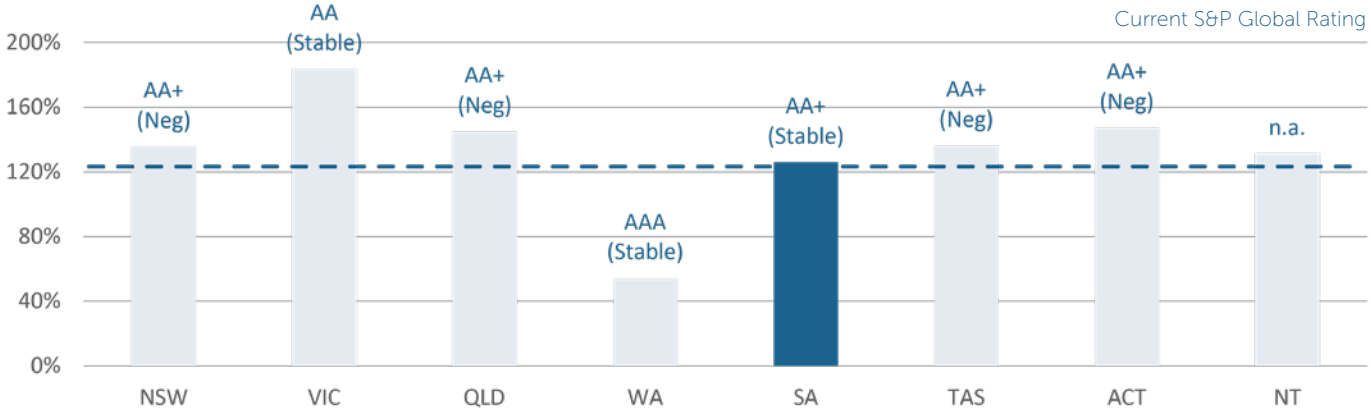
# 2025-26 BUDGET

## BUDGET CONTEXT

Despite further significant investments in key services and assistance for our regional communities doing it tough, the government has budgeted for net operating surpluses in each year over the forward estimates. This is consistent with the commitment to implement priorities in a fiscally sustainable manner.

As a result of these investments and the government's record infrastructure program, totalling $27.3 billion over the period 2025-26 to 2028-29, non-financial public sector (NFPS) net debt is estimated to increase to $48.5 billion by 30 June 2029. South Australia has a net debt to revenue ratio that is second lowest in the nation and has a AA+ credit rating.

### NFPS NET DEBT AS PERCENTAGE OF TOTAL REVENUE AS AT 30 JUNE 2028, BY JURISDICTION [1]




1. Net debt and total revenue estimates are based on the latest estimates released by each jurisdiction, as calculated by the South Australian Department of Treasury and Finance.

Note: (Neg) reflects a negative ratings outlook; (Stable) reflects a stable ratings outlook.

## ECONOMIC OVERVIEW

South Australia's population grew by 1.2 per cent in the year to the September quarter 2024, (slower than the previous year but still above the previous decade average). South Australian employment growth of 2.4 per cent through the year to April 2025 has been ahead of previous forecasts and above population growth, with the unemployment rate staying low at 3.9 per cent.

Despite subdued consumer spending and business investment, the economy has continued to grow, supported by significant public and dwelling investment. With inflation now within the Reserve Bank of Australia's target range, lower interest rates should support growth in household consumption and private investment.

The South Australian economy is forecast to grow by 1¼ per cent in 2024-25 and strengthen to growth of 1¾ per cent in 2025-26.

### KEY ECONOMIC INDICATORS UNDERLYING THE BUDGET AND FORWARD ESTIMATES – SOUTH AUSTRALIA

| | 2024-25 Estimate | 2025-26 Forecast | 2026-27 Projection | 2027-28 Projection | 2028-29 Projection |
|---|---|---|---|---|---|
| **Gross State Product – real growth (%)** | 1¼ | 1¾ | 2 | 2 | 2 |
| **State Final Demand – real growth (%)** | 1¾ | 1¾ | 2 | 2 | 2 |
| **Employment – growth (%)** | 1 | 1 | 1 | 1 | 1 |
| **CPI (%)** | 2¾ | 3 | 2¾ | 2½ | 2½ |

SOUTH AUSTRALIA
Government of South Australia

# STATE BUDGET
## 2025-26

**DEPARTMENT OF TREASURY AND FINANCE**

State Administration Centre
Kaurna Country
200 Victoria Square, Adelaide
South Australia  5000

GPO Box 1045, Adelaide
South Australia  5001

treasury.sa.gov.au

SOUTH AUSTRALIA

Government of South Australia